

ROLLING WITH TECH

FMCG majors are betting heavily on digital technologies like AI and ML to transform businesses

The pandemic has accelerated the speed of digitalisation as the share of online sales has surged to 5-8 per cent in FY22 from 1-2 per cent in FY20

From sourcing to manufacturing to supply chain to consumer insights, digital technology is the new mega-trend of the decade

Improving operational efficiencies, cost optimisation and gauging the consumer trends early with the help of technology are benefitting the leading FMCG firms

This could be a great differentiator between behemoths and smaller players in the long run, as companies with deep pockets are surging ahead

process of getting insights into the consumers' mind—from their changing behaviour and emerging demands to placing the products on the shelf—is taken from our intelligent ecosystem. This also helps in our decision-making, be it our pricing strategy across SKUs (stock keeping units), whether to invest in distribution channels, or promotion and in which media."

Salt-to-cigarettes major ITC, too, is banking on digital tools to stay ahead of the curve. According to Shuvadip Banerjee, Chief Digital Marketing Officer at ITC, the company is rapidly adopting digital processes with a specific focus on consumers, experience of its services, supply chain management and manufacturing. Under its 'smart consumer' initiative, it has taken a multi-pronged approach with tools like Sixth Sense that includes a customer data hub, moment marketing, ITC e-store and e-commerce. Through Sixth Sense, its teams track conversations on social media and trends on e-commerce platforms, and then analyse the data with artificial intelligence (AI) and natural language processing (NLP) prediction tools. According to Banerjee, this has improved the chances of success of every new launch and also helps in targeted promotions.

Banerjee explains that to improve consumer experience at its hotels, on its D2C platform and for its stationary business, ITC has launched three additional apps. First, the ITC Hotels App enables customers with easy access to room and F&B reservations, food delivery and loyalty benefits, among others. Second, its Unnati app for trade partners has already onboarded 300,000 outlets, while its virtual salesman app Viru enables

contactless ordering by retailers and direct communication with trade partners, especially during the absence of a salesforce. The app also uses ML for hyper-personalisation of displayed products. Further, to improve sourcing, Banerjee says, the company's Astra project allows for optimal buying, better price recovery and enhanced operational efficiency. "The AI-powered tech platform, ITCMAARS provides personalised, hyperlocal solutions for the farmers, while the physical layer enables last-mile delivery of products and services," he adds.

At ITC's AGM this year, Chairman and MD Sanjiv Puri had said that the company is investing in cutting-edge digital tech to shape a new paradigm of competitiveness, create innovative business models and tap new opportunities. According to him, ITC is exploring new frontiers across the entire value chain to add significant impetus to digital marketing, commerce, products and operations initiatives. Meanwhile, Banerjee claims that its digital drive has already borne fruit by improving productivity and optimising costs.

For instance, he adds, various initiatives of digitalisation and implementation of Industry 4.0 tech has enabled ITC Paperboards and the specialty paper business to expand its margin by 230 basis points over the past two years.

If ITC is bullish about transforming itself through digital tech, executives at ayurveda major Dabur India are also not resting on their laurels. According to Mohit Malhotra, CEO of Dabur India, the Ghaziabad-based FMCG major has been infusing future-ready tech like AI/ML, robotics and automation to drive greater efficiency across the organisation. It has covered processes such as supply chain, manufacturing, and sales & marketing to reduce costs. In addition,